concern is that the cost-burden adjustment identifies a genuine problem but does not establish a clear connection to its solution.

Lower Income Cost Burden Only

Given uncertainty in the numerical relationship between cost burden and additional supply, SCAG also explored with HCD a narrower approach focusing the adjustment on **very-low- and low-income households**, where RHNA provides additional tools that can help support affordable housing development. For example, when local jurisdictions identify sites for their lower-income RHNA, state housing law includes additional requirements intended to make affordable housing more feasible such as appropriate densities, streamlined approvals, and supportive programs. This creates a more direct connection between the housing need identified through RHNA and the affordability problem the adjustment is intended to address.

Using raw Census microdata, SCAG calculated cost burden specifically for very-low- and low-income households. To avoid double counting, households already included in the overcrowding adjustment were removed.[11] SCAG then compared the remaining level of cost burden in the region with the national level. This approach produced a **cost-burden adjustment of 226,803 additional housing units: 80,942 for very-low-income households and 145,861 for low-income households.**

While HCD reviewed SCAG's approach and was able to replicate the calculation, they ultimately did not adopt it. Instead, HCD applied the cost-burden adjustment to all households in the region, including moderate- and above-moderate-income households. HCD calculated the difference between the SCAG region's cost-burden rate (43.19 percent) and the national rate (31.45 percent) and applied that **11.74 percentage-point difference** to the region's roughly 6.5 million households. That amount was then added to the RHND (504,627 units).

Staff Recommendation and Proposed Alternative Determination

Staff recommend the RHNA Subcommittee recommend to the CEHD and Regional Council to object to the RHND on the basis that the cost burden adjustment is not a reasonable application of the methodology and assumptions determined in statute. SCAG may file an objection within 30 days of the notice of the determination (i.e. November 14, 2026). The objection would be based on and substantiate the following:

"The regional housing need determined by the department is not a reasonable application of the methodology and assumptions determined pursuant to subdivision (b). The objection shall include a proposed alternative determination of its regional housing need based upon the determinations made in subdivision (b), including analysis of why the proposed alternative would be a more reasonable

[11] This follows HCD's existing approach in RHND line item 12.